

The proposals rattled foreign investors, mostly the variety that wanted to play the Indian market by remaining anonymous. And the market had, by now, become addicted to hot money. Even though the P-note restrictions had been aimed at moderating capital flows into the country, a short-term collapse in stock prices looked imminent as P-note holders went about liquidating their positions. This would undoubtedly have had a domino effect as players tried to offset losses in one set of stocks by selling others in which they were still sitting on paper profits.

Traders who were heavily long on the market got behind their desks the following morning expecting the worst. And their fears were proved right. Frontline indices crashed 10 per cent – the Sensex tanking 1,745 points – within minutes of the market opening, triggering a one-hour shutdown.

SEBI and the finance ministry immediately swung into damage control mode, trying to pacify jittery foreign investors. Finance Minister P. Chidambaram said the idea was not to ban P-notes but only to restrict the flow of money through this route. SEBI chief M. Damodaran said the regulator would try to simplify the process of registration for FIIs so that more of them could directly invest in India instead of in a roundabout manner. That assuaged investors briefly, but the selling spree resumed the following day. In three trading sessions since the discussion paper on P-notes was floated, the Sensex had plunged nearly 1,500 points.

However, things turned around quicker than expected, as many FIIs that invest with a longer time horizon saw the correction as a good opportunity to buy into India. Typically, FII activity tends to taper off in December as most money managers head out on vacation. But this year, FIIs resumed their purchases with a vengeance in December, pumping in around a billion dollars, bringing their cumulative net purchases for the year to \$17 billion – the highest ever in a single calendar year. The party in the stock market was on in full swing, even though there were telling signals that investors were beginning to lose their sense of proportion, and many companies their sense of propriety.

In addition to this FII interest, there was also the upcoming IPO of Reliance Power, the largest ever IPO in the history of the Indian stock market. The issue size was around Rs 11,500 crore, but looking at the demand in the grey market, the subscription would be many times that. Assuming the issue got subscribed ten times, over Rs 1 lakh crore would be sucked out from the market temporarily. The grey market for shares of